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'Just in time' for ultra fast fashion: How a Noida-based manufacturer is churning out clothes on demand



Synopsis

High inventory, textile discard and water consumption give fast fashion a bad name. But there is a hope to change that tag now.

“Did you know that 35% to 40% of the garments made in the world are either burnt or dumped?” asks **Nitin Kapoor**, the Co-Founder of garment-maker **IBA Crafts**. This information alarmed Kapoor enough to tweak his **fast fashion** business model into something more sustainable: order to wear.

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Today, the Noida-based IBA Crafts runs an in-house brand, **Moomaya**, that uses the **just-in-time** inventory model to make garments. Customers browse its catalogue and select the dress and design, and the company stitches and dispatches the garments within 48 hours. Kapoor says the best part is that no single clothing item is wasted. This model has also reduced the need to depend on warehousing for inventory.

Kapoor, also the CEO of IBA Crafts, says his company began operations by selling trimmings and appliques in 2010. It gradually moved into garments and fast fashion. But in 2016, when the gravity of **textile waste** hit him, he implemented the just-in-time (JIT) model, which is more prevalent in manufacturing. In the past six years, the company has shipped more than 5 lakh garments to 140 countries, including the US, UK, Europe, and Australia, using the JIT model.

Why textiles need JIT

The textile industry needs to explore JIT or such options as it is a major contributor of waste — and the world is battling a rising mountain of garbage. India, one of the largest textiles and apparel-sourcing regions in the world, generated an estimated 7,793 kilotons of textile waste a year, which is 8.5% of global textile waste, according to a study commissioned by Fashion for Good.



A fabric printing machine at Moomaya's (IBA Crafts) facility in Noida. After receiving the orders, a machine prints the selected design on the fabric, it is cut to size and given to one of the 150 workers of the company to make it into a garment.

Highlighting how this is a global problem, several reports have pointed out that used and discarded garments and footwear are being dumped at the Atacama Desert in Chile, giving it the nickname of the world's largest clothing dump. Media reports estimate that 60,000 tonnes of used clothes are shipped to



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Chile every year, and an additional 39,000 tonnes of used clothes reach the desert through illegal means. Experts have pointed out that these used apparels are not biodegradable and have chemicals, which can leach into the environment.

India cannot afford to ignore its textile waste problem, as the domestic textile and apparel industry plays an important role in the economy. It brings in 2% of GDP, 12% of exports and employs some 45 million individuals directly. IMARC Group estimates the \$197.2 billion textile and apparel market to reach \$592.7 billion by 2032, growing at a CAGR of 12.6%. Given these numbers, and that the world is increasingly turning towards sustainable practices, the domestic industry has to embrace environmentally friendly practices.

So, when a sustainable model is successfully implemented right at the beginning of the value chain, it deserves attention.

“I am saying buy five products, no problem,” says Kapoor. “At the same time, I am trying to save the resources that would have gone into making, say, five products that would have been put up on display but probably never gotten sold. That is where we are trying to make a difference. Not at the front end, but at the source itself.”

An answer to water scarcity

The JIT model has another great advantage too — it reduces water consumption in an industry notorious for its water consumption and pollution: A 2019 UN report said global clothing production is “responsible for 20% of total water waste on a global level”. But IBA Crafts says JIT has helped it reduce its water consumption by 27 lakh litres in 2023 and almost 55 lakh litres so far in 2024.

The initiative is profitable, too. Kapoor says the company’s net revenue for FY23 is \$3.7 million and for FY24 is \$4 million, with a FY25 projection of \$6 million.



Nitin Kapoor, co-founder and CEO, IBA Crafts. Kapoor says calls their JIT manufacturing model a 'well-orchestrated' kitchen.



According to Tracxn, IBA Crafts reported a revenue of Rs 1,577.5 lakh in 2022-23, Rs 2,493 lakh in 2021-22 and Rs 1,719.7 lakh in 2020-21. It reported a profit of Rs 2.9 lakh in 2022-23; it was Rs 23.6 lakh in 2021-22 and Rs 15.7 lakh in 2020-21, says Tracxn.

Kapoor says the trick to becoming successful using a JIT model is to solve the problems at each stage and then move onto the next stage. So, after the company implemented a JIT model in 2016, it invested about 24 months to sort out all the problems and see success. He explains that they would experiment to understand how to keep the colour from bleeding, how to keep the sheen of the fabric last longer and so on.

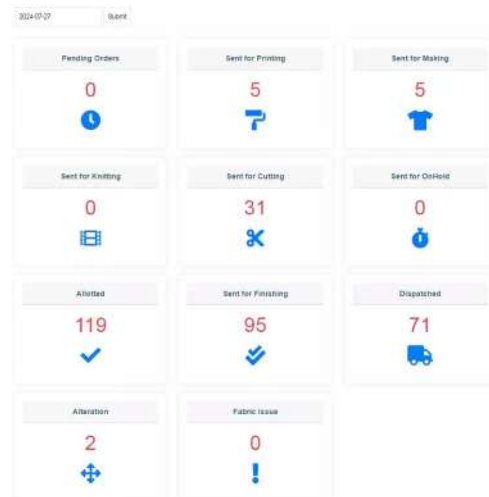
The manufacturing process

Another challenge was to ensure this model worked on all kinds of materials — natural and polyesters. Kapoor says their goal was to ensure the fabric had to be cut and stitched according to the customer's order in 24 hours. "Automation was brought in so that we were able to match the cost of a particular product with that being sold by any other wholesale manufacturer. Otherwise, the model would not have made sense," he says.

Moomaya's advantage is that it starts making a garment only after receiving the order. After a machine prints the selected design on the fabric, it is cut to size and given to one of the 150 workers of the company to make it into a garment. This entire process is done in 48 hours. Moomaya sells its clothes through its website and also through marketplaces such as Amazon and Myntra.

The CEO of IBA Crafts says they store "white materials of all the fabrics such as cotton and rayon" they sell for 15 days. Printing is done on this white-coloured raw material.

The company stops taking orders once the number crosses 2,500 a day as it does not want to stretch itself thin. As it is aware of the quantity of cotton, rayon and polyester it needs to make these clothes, there is no need to store a large quantity of raw materials. “No warehouse, no pilferage, no guards, no barcoding...,” Kapoor says.



The company stops taking orders once the number crosses 2,500 a day as it does not want to stretch itself thin. It manufactures all orders within 48 hours.



The CEO reiterates that this model has given them huge savings. For example, he says, traditional garment sellers would showcase, say, 1,000 designs online. They would produce 50 pieces in each design and in various sizes. This alone will cost them Rs 22-23 crore in inventory. “Plus, the problem is that 30-35% of the product will not get sold. So, they tend to lose or lock in money,” Kapoor explains.

Adaptability in changing market

Just in time was introduced by Toyota in the 1970s to get raw materials from vendors on time. Later, manufacturers moved to just in case (JIC) — where they kept a large inventory of raw materials with them. It helped them manage uncertainty better, but inflated their inventory costs. The aftermath of the Covid pandemic had brought JIT back into focus among manufacturers.

Anand Ramanathan, Partner, Consumer Products and Retail Sector Leader, Deloitte India, says JIT manufacturing is gradually finding a place in India's textile industry, too. Feasibility depends on factors like supply chain efficiency, technology adoption and the scale of operations. He says a well-known Spanish fashion retailer uses real-time data and rapid

production cycles to stay on top of the latest trends, producing small, targeted batches of apparel that match current consumer preferences.

“This strategy not only reduces inventory costs and minimises waste but also allows the brand to quickly adapt to shifting market demands. Similarly, a major American sportswear brand employs JIT manufacturing to fine-tune its inventory management and production processes. By aligning production closely with consumer demand, the company ensures that its products are delivered promptly to the market, maintaining its competitive edge,” he says.

Moomaya has been doing it successfully for both the international and domestic markets, points out Rohit Goel, an independent investor and an early angel investor in IBA Crafts. Though Spanish fashion brand Zara uses a JIT-like model, it is not the same, he explains. “They have a fast-fashion-kind of a model where they change their styles of clothing in the stores very fast and their turnaround time is very fast. They keep bringing more and more different styles and inventory doesn't stay for too long,” he says.



Moomaya has no additional inventory. The company only keeps the raw materials- white materials of various fabrics for 15 days in its facility.



Giving fashion a bad name

Fast fashion refers to the trend of bringing cheap, trendy clothing to the market at breakneck speed to meet consumer demand. Shoppers buy them but soon discard such clothes as the fashion trend loses popularity. Zara, for example, is known to change its apparel designs every 14 days, while it takes about 10-14 weeks for its competitors to do so.

Ultra fast fashion moves even quicker, says McKinsey. “Back in the 1990s, the Spanish retailer Zara was one of the first fast fashion retailers to break the mold, offering hundreds of new items per week. As of 2023, the Chinese ultrafast fashion retailer Shein consistently churns out up to 10,000 new designs a day.”

Moomaya is an ultra-fast-fashion firm but one that is “breaking the curse associated with the term and running a sustainable business,” claims the CEO.

Kapoor recalls that when they started pursuing the JIT model, they could not find many precedents. IBA Crafts’ co-founders, Hema Kapoor and Amit Gupta, backed the move and invested \$2.5 million of their own cash initially. Tracxn says the company has raised \$80,400 in equity funding, valuing it at \$460,000.

IBA Crafts is now trying to become a house of brand — an organisation that caters to every category such as children's clothing, men's clothing, women's clothing, maternity wear and active wear, among others. It also wants to showcase something new to customers every week to ensure stickiness. “It is exactly like how Shein works,” Kapoor says. “The only thing that helped them succeed was low inventory and fast designs, wherein customers would actually go back to them and look for what is new.”

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